

Table 8.10 Trading Tactics

Trading Tactic	Explanation
Measure rule	Compute the difference between the highest high and the lowest low in the broadening bottom. Add or subtract this value from the breakout price. The result is the target price for upward and downward breakouts, respectively. The bottom portion of this table shows how often the measure rule works.
Go long at the low	After recognizing a broadening pattern, buy after the stock makes its turn at the lower trendline.
Long stop	Place a stop-loss order 15 cents below the prior minor low to protect against a trend reversal.
Go short at the high	Sell short after price starts down from the top trendline.
Short stop	Place a stop 15 cents above the minor high to protect against an adverse breakout. Cover the short when price turns at the bottom trendline and starts moving up. For a downward breakout, cover as it nears the target price or any support level.
Move stops	Raise or lower the stop to the next closest minor low or high once price makes a new high (for long trades) or low (for short sales).
Partial rises/declines	If a broadening bottom shows a partial decline or rise, trade accordingly (on a partial decline, go long; on a partial rise, short the stock). Partial rises work 53% of the time, and partial declines work 73% of the time.
Stop location	Use Table 8.7 to help determine stop location.
Busted trade	Busted patterns perform slightly better than non-busted ones. See Table 8.9 .

Description	Up Breakout	Down Breakout
Percentage reaching half height target	81%	70%